The debt and liabilities of the Government of India on the Public Account and as extra-budgetary resources are entirely in domestic currency. Therefore, if we relate the external liabilities at current prices to the total debt and liabilities (as per the Status Paper), the ratio of external debt to total debt and liabilities falls to 5.9 per cent.

There is no reason to continue to depict external debt in government accounts and Budget papers at historical values. The government maintains accounts for each external bilateral and multilateral agency in foreign currency and Indian rupees in the separate accounts maintained by the Controller of Aid, Accounts and Audit in the Department of Economic Affairs.

The government can easily pass an accounting entry at the end of the year bringing outstanding balance at the current values by crediting an equal amount in an External Aid Reserve. This way, it would not only be able to present current valuation of external liabilities in the Budget papers but would also have some reserve to fall back on when repaying these liabilities.

This would align the external debt and public debt numbers in the Status Paper and the Budget papers.

Government Built Up Large Off-Budget Expenditure from 2016–17

Expenditure not met from the revenues of governments leads to incurrence of liability to be repaid from future revenues. Expenditure over revenues results in fiscal deficit. Fiscal deficit is financed by raising debt and incurring liabilities. When the expenditure and debt/liability incurred are both accounted for in the CFI, they are transparently and correctly accounted for in the Budget and accounts. There are certain contrived ways in which expenditure and liabilities can be accounted for in the Budget and accounts to understate the level of expenditures and fiscal deficit.